



GOVERNMENT OF KHYBER PAKHTUNKHWA
COMMUNICATION & WORKS DEPARTMENT



SO(CNW)/17763150448782948/2026

10-03-2026 04:04 PM

SUMMARY FOR THE CHIEF MINISTER

Subject CONSTRUCTION SWAT MOTORWAY PHASE-II FROM CHAKDARA TO FATEHPUR (80KM)
ON PPP MODE OF FINANCE. S.HEAD: BRIDGE FINANCING FOR PSDP SCHEME "LAND
ACQUISITION FOR SWAT MOTORWAY PHASE-II"

The scheme "Land Acquisition for Swat Motorway Phase-II" amounting to Rs. 20,000.00 million was approved by ECNEC on 16th July 2020 [Annex I-pg#1](#) under PSDP to cover the cost of 10,000 Kanal land falling within District Malakand & District Swat. The land acquisition was DFC in June 2022 as per financial phasing of the approved PC-I. However, due to inadequate allocation and non-availability of required fund, the scheme could not be implemented within the stipulated time frame. The release made so far by the Finance Division in each financial year is tabulated below:

S.No	PC-Cost	Financial Year	Allocation (in Million)	Released (in Million)	Utilized (in Million)	Balance (in Million)
01	20,000.00	2020-21	2000.00	2,000.00	2,000.00	18,000.00
02		2021-22	10,000.00	5,000.00	5,000.00	13,000.00
03		2022-23	500.00	700.00	700.00	12,300.00
04		2023-24	500.00	-	-	12,300.00
05		2024-25	1,000.00	500.00	500.00	11,800.00
06		2025-26	15.00	-	-	11,800.00

2. It is pertinent to mention here that as per the PPP Agreement with M/S SMART (Concessionaire Swat Expressway Phase-II), the Provincial Government must provide 60% encumbrance-free land (ROW) as a condition precedent. The remaining 40% shall be provided soon after financial close. Failure to comply will result in default and trigger compensation as per the PPP Agreement. [Annex II](#)

3. The section-4 under Land Acquisition Act, 1894, has been imposed on the entire 80 Km ROW by the Deputy Commissioner (Malakand & Swat). Award under section-11 has been announced for 52 Km ROW after fund release. Thus, 56% land (ROW) is available for the concessionaire. The released Rs. 8,200 million is short by Rs. 3,100 million for the acquired 5,650 Kanal land.

4. Due to non-release of funds by Finance Division, the scheme's implementation period has been extended annually under Planning Commission's Manual of Development Projects-2021. The 4th cost extension for CFY (2025-26) has been granted to utilize the remaining Rs. 11,800.00 million. [Annex III](#)

5. It is worthwhile to mention that the scheme has been reflected in CFY (2025-26) PSDP with a meager allocation of Rs. 15.000 million and on the other hand, the Financial Close is in the last leg. The concessionaire's negotiation with the financial institution i.e. UBL is being concluded to obtain project facility in the form Term Sheet on certain conditions, included but not limited to the confirmation of 100% land acquisition post closure of financial close, which is under review of the Provincial Govt. for further concurrence.

6. In these circumstances, it is indispensable that the balance amount of Rs. 11,800.00 million may be arranged by the Provincial Government on an emergent basis to enable the acquisition of remaining portion of RoW (40% land), to meet the obligation of PPP Agreement.
7. Foregoing in view, it is proposed that the PSDP scheme "Land acquisition for Swat Motorway Phase-II" may be considered for bridge financing for the balance amount of Rs. 11,800.00 million in order to facilitate availability of the entire encumbrance-free ROW (land) to the concessionaire well on the stipulated time to materialize achievement of the financial close.
8. P&D and Finance department may add views en-route.
9. Proposal contained at [Paragraph 7](#) is submitted for approval of the Honorable Chief Minister, Govt. of Khyber Pakhtunkhwa, please.



(MUHAMMAD ZIA UL HAQ)
SECRETARY COMMUNICATION &
WORKS
11-03-2026

ADDITIONAL CHIEF SECRETARY - PLANNING & DEVELOPMENT

10. Summary has been examined. Planning and Development department concurs with the requirement of funds for completion of the acquisition process for the remaining land to ensure availability of the entire encumbrance-free land for the concessionaire to keep the project on track. However, keeping in view the meager allocation of the scheme in the PSDP 2025-26 it is imperative that required funds are arranged through bridge financing not for timely completion of the land acquisition process but also for preventing any cost escalations at a later stage due delay in availability of encumbrance free land for the purpose. Therefore, Planning and Development department suggests that proposal the C&W department at para-7/S may be placed before the Provincial Cabinet for approval of the requested funds through bridge financing as supplementary budgetary grant during the current financial year 2025-26.
11. Finance Department may add its views enroute, please.



(ISLAM ZAIB)
ADDITIONAL CHIEF SECRETARY
PLANNING & DEVELOPMENT
24-03-2026

SECRETARY - FINANCE

12. The summary has been examined and the following is observed:

Since the project is being implemented under the PPP framework, the case may be placed before the PPP Committee first in accordance with the PPP Act, 2020, prior to placement before the Provincial Cabinet, as all approvals have already been processed through this forum.

Out of the total 80 km corridor, land for 52 km has been acquired, which constitutes 65% encumbrance-free Right of Way (ROW). As per the Agreement, 60% ROW is required for achieving financial close. Therefore, this condition has been met, and financial close may proceed.

The financing of the remaining land acquisition is a separate matter and may be considered by the Government independently. It should not be linked to or treated as a precondition for financial close.



(CAPT (R) KAMRAN AHMED AFRIDI)
SECRETARY FINANCE
02-04-2026

CHIEF SECRETARY GOVT OF KHYBER PAKHTUNKHWA

13. Please respond to the observations of Finance department.



(SHAHAB ALI SHAH)
CHIEF SECRETARY GOVT OF KHYBER
PAKHTUNKHWA
26-04-2026

SECRETARY - COMMUNICATION & WORKS

PSCM.CMSECT - CM SECRETARIAT - 23-07-2026

**GOVERNMENT OF KHYBER PAKHTUNKHWA
COMMUNICATION & WORKS DEPARTMENT**

No. SOR/V-39/W&S/06/Vol-II

Dated Peshawar, the 17/09/2020

The Managing Director,
Pakhtunkhwa Highway Authority,
Peshawar.

**ADMINISTRATIVE APPROVAL FOR THE SCHEME "AUTHORIZATION: LAND
ACQUISITION FOR SWAT MOTORWAY PHASE-II" PSDP No.196 (2020-21)**

In exercise of the powers delegated vide Part-I Serial No.5 Second Schedule of the Delegation of Powers under the Financial Rules and Powers of Re-appropriation Rules, 2018, the Khyber Pakhtunkhwa Provincial Government is pleased to accord the Administrative Approval for the implementation of the scheme under PSDP No.196 (2020-21) "Authorization: Land acquisition for Swat Motorway Phase-II" for the period of 11 months from (2020-21) to (2021-22) at a total cost of Rs. 20000.00 Million (Rupees Twenty thousand million only) as per detail given below:-

S.No.	Name of Work	Approved cost (Rs. in M)
1	Right of Way (District Malakand)	1972.00
2	Right of Way (District Swat)	13604.00
3	09 No. Interchanges (District Malakand/Swat)	3424.00
4	Service Area + Office Building+ Rest area and approach roads (where planned)	1000.00
	TOTAL	20000.00

- The scheme was approved by the ECNEC meeting held on 16.07.2020. Authorization letter circulated by P&D Department letter No. Chief/TNF/P&D/2020/601/44/20/2391 dated 08.09.2020.
- The expenditure involved will be met out from the local sanctioned budget under the function cum-object classification 04-Economic Affairs-045-Construction & Transport-0452-Road Transport-045202-Highways Road & Bridges (NC 12066) under Grant 57 during the financial year (2020-21 & 2021-2022).
- The Administrative Approval does not constitute any sanction to rates provided in the rough cost estimate. The financial responsibility of the rates rests with the authority competent to accord technical sanction to the cost estimate.
- The sanctioning authority shall allow appropriate rates after observing all codal formalities/standing instructions regarding schedule of rates and financial regularity. The work shall be taken in hand after release of funds and proper technical sanction of the cost estimate.

SECRETARY C&W DEPARTMENT

Copy to the:

1. Additional Chief Secretary P&D Department Khyber Pakhtunkhwa, Peshawar.
2. Secretary to Govt. of Khyber Pakhtunkhwa, Finance Department Peshawar.
3. Accountant General Khyber Pakhtunkhwa, Peshawar.
4. Chief Infrastructure, P&D Department Peshawar.
5. Director Planning & Monitoring Cell C&W Department Peshawar.
6. Assistant Chief, Planning Commission M/O Planning, Development & Special Initiatives (Public Investment Authorization-III Section), Islamabad.
7. Accounts Officer (Local) C&W Department, Peshawar.
8. Project Director (Swat Expressway) PKHA Peshawar.
9. Deputy Director (Construction-I), Swat Expressway PKHA Peshawar.
10. Deputy Director (IT) C&W Department, Peshawar.

(Engr. Faizan Akbar)
Section Officer (Road)

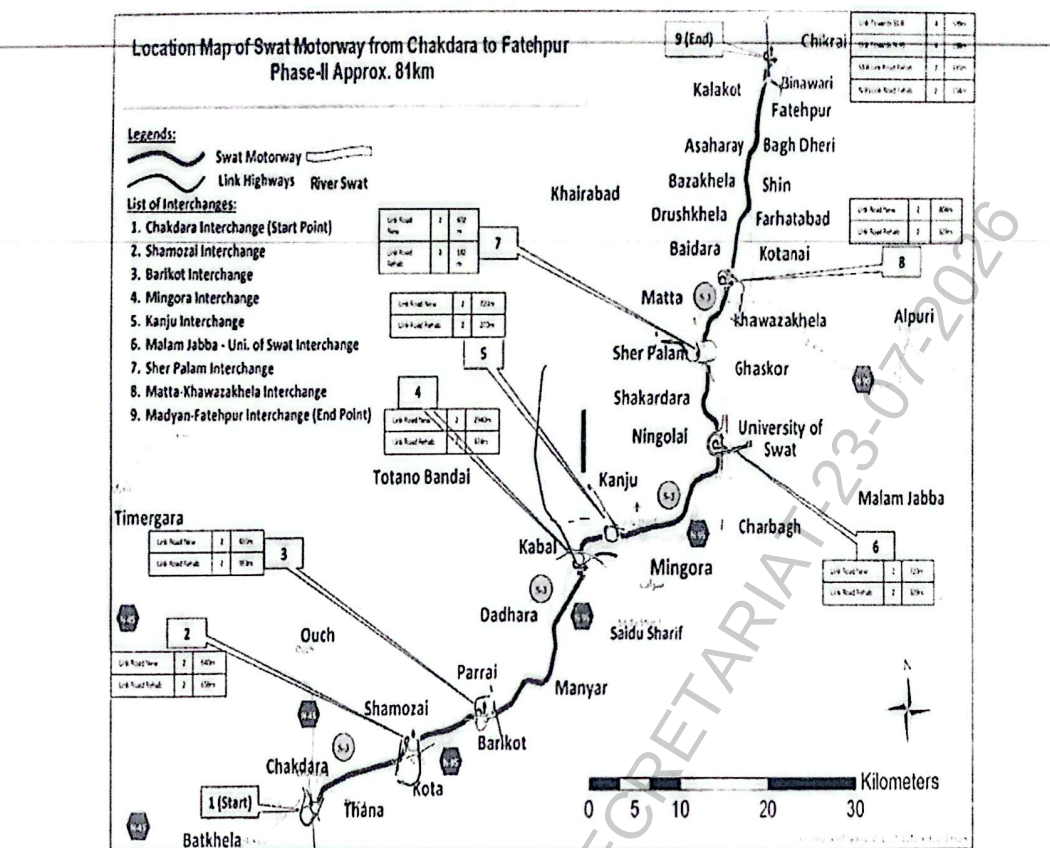
SWAT EXP.
PKHA, PESHAWAR

Diary No. 4693/2020-VII

Dated: 21/10/2020

LINEAR PLAN

An indicative linear plan of the Concession Area is as under:

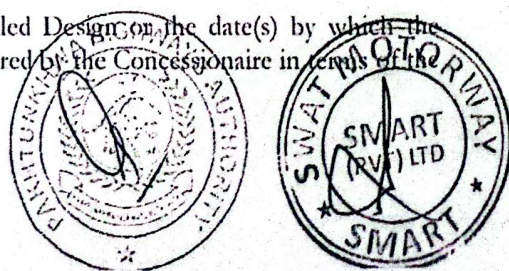


DETERMINATION OF PARAMETERS OF THE CONCESSION AREA

The area and parameters of the Concession Area described above are indicative. The actual area and parameters of the same shall be determined in the following manner (provided, that such area and parameters shall not be less than the area provided above under the headings **Project Length**, **Project Width** and **Linear Plan**):

The Concessionaire shall, as per **SCHEDULE AD [DETAILED DESIGN MODULES]**, provide to the Independent Engineer (with a copy to PKHA) a land acquisition and Public Utilities folder (the "**Land Acquisition & Utilities Folder**") regarding the area and parameters of the Concession Area and the Public Utilities to be removed/relocated (with a copy to PKHA). Within three (3) Months of submission of the Land Acquisition & Utilities Folder, PKHA shall (a) acquire at least sixty percent (60%) of the Concession Area identified in the Land Acquisition & Utilities Folder, as required by the Concessionaire in terms of the Project Implementation Programme (the "**Concession Area (First Segment)**"), and (b) remove, relocate or divert the Public Utilities identified in the Land Acquisition & Utilities Folder in relation to the Concession Area (First Segment), in each case, as certified by the Independent Engineer.

Further, within seven (7) Months of submission of the Detailed Design on the date(s) by which the Concession Area (Second Segment) (or any part thereof) is required by the Concessionaire in terms of the

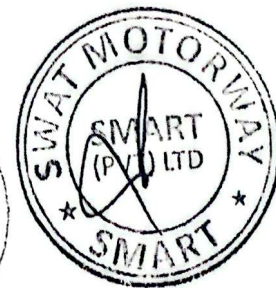
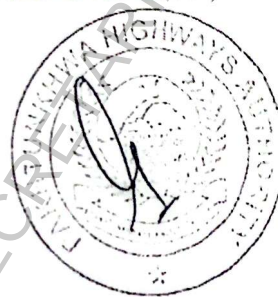


Project Implementation Programme, whichever is earlier, PKHA shall (a) acquire the Concession Area (other than the Concession Area (First Segment)), the land required for the Motorway Service Areas and the Additional Land (Works) identified in the Detailed Design (the "**Concession Area (Second Segment)**"), and (b) remove, relocate or divert the Public Utilities identified in the Detailed Design, which were not specified in the Land Acquisition & Utilities Folder in relation to the Concession Area (Second Segment), in each case, as certified by the Independent Engineer.

Subject to achievement of Financial Close, PKHA shall deliver to the Concessionaire the Vacant Possession of the Concession Area, free from any Encumbrance and together with the Ancillary Rights, on the following dates:

- (a) the Concession Area (First Segment), no later than three (3) Months after submission of the Land Acquisition & Utilities Folder;
- (b) the Concession Area (Second Segment), no later than seven (7) Months after submission of the Detailed Design or the date(s) by which the Concession Area (Second Segment) (or any part thereof) is required by the Concessionaire in terms of the Project Implementation Programme, whichever is earlier,

((a) and (b) above are collectively referred to as the "**Take-Over Date**").





**GOVERNMENT OF KHYBER PAKHTUNKHWA
COMMUNICATION & WORKS DEPARTMENT**

No.SOR/2-13/Road/C&W/2026

Dated: January 30th, 2026

NOTIFICATION

No.SOR/2-13/Road/C&W/2026. In exercise of powers conferred under the Government of Pakistan, Planning Commission, Manual for Development Projects, Annex-XIV, Page-754-55; No. 20(1-29)DA/PC/86 dated 15-04-1989-Section-3, read with Government of Pakistan, Planning Commission, Ministry of Planning, Development and Special Initiatives Memo No. 23 (1-DDWP)/PIA-I/2017 dated 15th March 2019 and in the light of the Khyber Pakhtunkhwa Delegation of Financial Power Rules 2018, the Competent Authority i.e.. Secretary, Communication & Works Department, Govt. of Khyber Pakhtunkhwa is pleased to accord One year 4th Cost-Neutral time Extension up to June 30th, 2026 to the Federal PSDP 2025-26 Project (PSDP #199 - "Land Acquisition for Swat Motorway Phase-II") at original approved cost of Rs. 20,000.00 million.

Secretary to Govt. of Khyber Pakhtunkhwa
Communication & Works Department

Endst No & Date even:

Copy of the above is forwarded to:

1. The Secretary to Govt. of Khyber Pakhtunkhwa, Finance Department, Peshawar.
2. The Secretary to Govt. of Khyber Pakhtunkhwa, P&D Department. Peshawar
3. Managing Director Pakhtunkhwa Highway Authority, Peshawar.
4. Project Director Swat Expressways.
5. Accounts Officer C&W Department Peshawar.
6. Section Officer (General) C&W Department, Peshawar.
7. Research Officer-III (PSDP/MDs) P&D Department.
8. PS to Additional Chief Secretary (Development) P&D Department.
9. PS to Secretary C&W Department, Peshawar.
10. PA to Additional Secretary (Tech) C&W Department, Peshawar.
11. PA to Deputy Secretary (Tech) C&W Department, Peshawar.

(ENGR. ROOH ULLAH)
Section Officer (Roads)